



Why people use debt

People use debt to buy things or make investments they could not normally afford. Borrowing to invest can yield larger returns than could be realised otherwise, but debts have to be repaid in full with interest.

How it works

Countries, companies, and individuals all use debt in order to function. Debt can be a useful method of spreading the cost of purchases, making investments, or managing finances. However, it is dangerous if it cannot be repaid. Taking out a mortgage to buy a property is an example of “good debt”, as few people are able to buy a house outright.

There are plenty of examples of “bad debt” where people borrow money, often at high interest rates, to make arguably unnecessary purchases. Those who do so can find that simply paying the interest on their loans is more than they can manage. This can lead to taking out more loans just to pay off the interest, and the borrowers never make an indent into the capital borrowed in the first place.

WARNING

- **Cost of borrowing** The costs can be higher than the income from the assets purchased.
- **Asset value can fall** If this happens the sale of the assets will not repay the original debt.
- **Interest rates can increase** This can mean the borrowing costs being greater than the value of the assets even if it rises.

Leverage

Leverage, or gearing, is the use of borrowed money to multiply gains (or losses). It is used on the stock market, by companies, as well as by individuals.



CASH PURCHASE

Buyer A buys an E-type Jaguar

Buyer A pays seller the full £50,000



USING BORROWED MONEY

Leverage involves buying more of an asset by using borrowed funds, in the belief that the asset will appreciate in value by more than the cost of the loan. In this example, Buyer B buys 10 E-type Jaguars by splitting his £50,000 cash (equity) into ten £5,000 down-payments and borrowing the extra £450,000. This means the buyer is “highly geared” as there is a high proportion of debt to equity. This is risky as the £450,000 borrowed (plus any interest) will have to be repaid regardless of the sale prices of the cars.

